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Customer Churn Rate

Term or Concept	Definition	Example	Sources/Citations
Customer Churn Rate	Churn rate is the percent of customers who leave in a month. If you have 1,000 subscribers and 20 cancel, that is 2% churn. It matters because it costs way more to get a new customer than to keep one.	Netflix has the lowest churn in streaming, about 2% a month. Most other services are around 4 to 7%. Netflix keeps it low by watching what people view and pushing new shows to anyone who has stopped logging in.	Antenna. (2024). State of subscriptions: Premium SVOD. Antenna. https://www.antenna.live/research Gallo, A. (2014, October 29). The value of keeping the right customers. Harvard Business Review. https://hbr.org/2014/10/the-value-of-keeping-the-right-customers HubSpot. (2024). What is customer churn? HubSpot. https://blog.hubspot.com/service/what-is-customer-churn Laudon, K. C., & Laudon, J. P. (2022). Management information systems: Managing the digital firm (17th ed.). Pearson.

Essay:

I picked churn rate because it is a simple number that says a lot. Churn is the percent of customers who leave in a month. If you have 1,000 subscribers and 20 cancel, that is 2% churn. The part I did not know is how much that one number matters. The chapter says it costs five to seven times more to get a new customer than to keep one. So if a company keeps losing customers, it has to spend a ton on ads just to stay even.

Netflix is the example that made it make sense to me. Their churn is about 2% a month, which is the lowest in streaming. Most other services are between 4 and 7%. That sounds like a small gap, but with 280 million subscribers it is huge. Netflix keeps churn low by using data they already have. They know what you watch, what you stop halfway through, and how often you log in. If you have not opened the app in two weeks, that is a red flag. They will push a show they think you will like before you think about cancelling. The chapter calls this analytical CRM, and Netflix basically runs on it.

The main thing I took away is that keeping customers is a data problem more than a sales problem. Netflix does not call people and ask them to stay. They just watch what people do and act early. I think smaller companies could do the same thing with the CRM tools they already have, but most only look at churn after the customer is already gone.